

ADVANCED MICRO DEVICES, INC. (NASDAQ: AMD)

Wonderful Business, Bubble Price REDUCE — the \$634 Price Is Not the Story

Equity Research Note · Technology — Semiconductors · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$130	\$633.91 Oct 2, 2026	-79.5%	High Beta 2.48

Snapshot			
Market cap	~\$1.03 tn (1.63B sh × \$633.91)	52-week range	\$149.85 – \$584.73 (Sept 19*)
Enterprise value	~\$1.02 tn	YTD / 1-yr return	+161% / +255% (Sept 19)
Net cash	~\$9.9 bn (June 27, 2026)	Q2'26 revenue	\$11.54 bn (+50% YoY, beat)
2026E consensus revenue	~\$51 bn	2027E consensus revenue	~\$89.8 bn
2027 DC revenue (company guide)	~\$70 bn (Citi TMT, Sept 8)	Next catalyst	Q3'26 earnings, Nov 3
Sell-side consensus	BUY (49 of 59; avg PT ~\$614)	Sell-side PT range	\$323 – \$1,313

*52-week range printed Sept 19, 2026; the Oct 2 close of \$633.91 broke above it — the stock is still making new highs.

This note is independent research-style analysis for informational purposes only and is not investment advice. Company and market facts below are background drawn from our September 19, 2026 deep dive (SEC filings, earnings releases, and financial press), refreshed to the October 2, 2026 close. The valuation is the author's hardened 10-year scenario DCF, rebuilt October 4, 2026 under strict anti-bias rules. Projections and the price target are the author's estimates.

1 Investment Thesis

AMD is a genuinely wonderful business in the middle of a genuine AI cycle. Data Center revenue grew **107%** in Q2 2026 to \$6.7B — 58% of company revenue; EPYC server revenue share is at a record **46.2%** while Intel ships flat; the MI400 series (432 GB HBM4, TSMC N2) and Helios rack-scale systems are real products with real anchor customers — OpenAI 6 GW, Meta 6 GW, Anthropic 2 GW — and the balance sheet holds **~\$10B of net cash**. The old note's fair value was \$520. Our hardened rebuild moved it to **\$130**. That is not a change in our opinion of the business. It is a change in how honestly we priced it.

The old note anchored to management's \$70B 2027 data-center guide and terminal growth assumptions north of 4%. The rebuild **hairstcuts the guide by ~16%** (base-case 2027 revenue \$75B vs \$89.8B consensus), caps terminal growth at **2.0%**, and discounts the base case at **12%** — the judgment call being that AI-accelerator revenue concentrated in three customers, export-control exposure, and a ~320M-share warrant overhang demand more than a standard semiconductor discount rate. Even the **bull case (\$231)**, which compounds revenue 20% annually for a decade at 22% FCF margins, is 64% below the price.

Reverse-engineering the market price is the damning arithmetic. To justify \$634 in our framework, AMD's revenue must compound at **~43.6% annually for nine years**, reaching **~\$1.3 trillion by 2035** — roughly **five times what our bull case generates**, larger than the entire projected AI-semiconductor TAM the company itself guides to (\$2–3T by 2030, total). The market is not underwriting AMD's business. It is underwriting a number that does not exist in any supply chain on Earth.

So: **the business thesis is intact; the price is not**. We would be buyers toward **\$115–140**, where the base case starts to offer a margin of safety, and enthusiastic buyers under \$110. Above \$300 — which is where the bull case breaks down — the equity is a momentum asset wearing a fundamentals story's clothes. We would turn positive if Q3 (Nov 3) and Q4 show Helios volumes tracking the 2027 guide credibly enough to close the gap — see falsification, §8. **REDUCE, \$130 target**.

Why own it

The AI-accelerator business is real and scaling. Instinct sales more than doubled YoY on the MI350 ramp in Q2; MI400/Helios entered full production in Q3'26 with 6-GW commitments from both OpenAI and Meta and a 2-GW Anthropic deal (plus up to \$5B Anthropic equity investment). "Tens of billions" of 2027 DC AI revenue is a company statement, not a sell-side fantasy.

EPYC is eating Intel's lunch in servers. 34.5% unit share and a record 46.2% revenue share in Q1–Q2'26; 5th-gen Turin >50% of server CPU revenue; 6th-gen Venice on TSMC N2 launched July 2026 with the strongest customer pull the company has ever seen. Server CPU revenue guided +70%+ in 2027.

Open stack is the strategic wedge. ROCm downloads up 10× YoY; OpenAI made AMD a first-class Triton backend; OpenAI, Meta, and Anthropic are all now co-invested — via warrants and equity — in an open (Ethernet + UALink) alternative to NVIDIA's proprietary NVLink/InfiniBand. Customer economics finally align with the open stack.

Fortress balance sheet, still compounding. ~\$9.9B net cash at June 2026; record \$5.5B FY25 FCF; \$10B of buyback authority; no dividend, no dilution panic — the one caveat is the ~320M-share warrant overhang (see Risks).

Why the market should be nervous

The price embeds a revenue number that does not exist. ~\$1.3T by 2035 at 43.6% CAGR — ~5× the bull case, which itself assumes 20% annual compounding for a decade at 22% FCF margins. Consensus still has zero Sell ratings and an average target of ~\$614: nobody is paid to notice.

Three customers carry the 2027 guide. The ~\$70B data-center guide rests on OpenAI, Meta, and Anthropic commitments. If any of the three pauses, stretches, or pivots to in-house or custom silicon (the Broadcom/Google TPU threat — 60–80% custom-ASIC share), the guide breaks from the inside.

H1 free cash flow was flattered. Q2 FCF looked strong because accounts payable jumped 78% QoQ — a \$2.36B payables stretch — while capex ran \$808M vs ~\$300M consensus. Cash conversion is worse than the headline.

The warrant overhang is real dilution math. ~320M shares (~19.6% of the base) if OpenAI + Meta warrants fully vest. The market treats these as "partnership"; they are a future share count.

Rack-scale mix dilutes margins. Management itself guides gross margin edging down through Q4'26–2027 as lower-margin Helios systems become a larger share. The bullish volume story and the bearish margin story are the same story.

2 Business Overview — What AMD Is Doing

Advanced Micro Devices (founded 1969, Santa Clara, CA; CEO Dr. Lisa Su) is a fabless semiconductor company designing high-performance CPUs, GPUs, adaptive SoCs/FPGAs, DPUs and rack-scale AI systems, manufactured primarily by TSMC. The company reports three operating segments — **Data Center**, **Client and Gaming** (combined), and **Embedded** — with Client vs. Gaming disaggregated only at the revenue level. Data Center is now the majority of revenue: 58% in Q2'26.

Segment results — most recent quarter (Q2'26) and TTM

Segment	Q2'26 revenue	Q2'26 YoY	Q2'26 op. income (margin)	TTM revenue
Data Center	\$6,718 mn	+107%	\$2,103 (31.3%)	\$22,214 mn
Client (of C&G;)	\$3,062 mn	+23%	n/d (combined)	\$11,794 mn
Gaming (of C&G;)	\$779 mn	–31%	n/d (combined)	\$3,640 mn
Embedded	\$977 mn	+19%	\$386 (39.5%)	\$3,657 mn
Total (GAAP)	\$11,536 mn	+50%	\$1,990 (17.3%)	\$41,305 mn

Sources: Q2'26 press release (Aug 4, 2026); segment op. income for Client and Gaming is disclosed only at the combined Client-and-Gaming level (\$582 mn, 15.2%).

Key product lines

Data Center — EPYC server CPUs: 5th-gen Turin (Zen 5) >50% of server CPU revenue in Q1'26; 6th-gen Venice (Zen 6, TSMC N2, up to 256 cores) launched July 23, 2026 with the strongest customer pull the company has ever seen; >\$220B server-CPU TAM guide by 2030.

Data Center — Instinct AI accelerators: MI350 series (CDNA 4) ramping — Instinct sales more than doubled YoY in Q2; MI400/MI455X (CDNA 5, TSMC N2, 432 GB HBM4, 20 FP8 PFLOPs) in full production; Helios rack-scale systems (72 × MI455X, 31 TB HBM4, ~3 EFLOPS FP4) shipping end-Q3'26; MI500 and MI430X follow in 2027 on an annual cadence.

Data Center — systems/networking: Pensando DPUs; ZT Systems design team integrated into the Data Center Solutions unit (manufacturing sold to Sanmina, closed Oct 2025).

Client: Ryzen CPUs/APUs; record mobile revenue in Q2'26; first-time cross of 30% client x86 share (Mercury/JPR Q2'26). Headwinds: HBM-driven memory scarcity lifting PC costs in H2'26.

Gaming: Radeon discrete GPUs stuck at ~8% of AIB units (NVIDIA ~90%); semi-custom console SoCs (PlayStation/Xbox) in a down cycle — the –31% driver.

Embedded: Xilinx-derived Versal adaptive SoCs (Premium Gen 2 with PCIe 6.0/CXL 3.1 shipping production H2'26), FPGAs; recovering after a three-year inventory digestion (+19% Q2).

Hyperscaler design wins

Partner	Commitment	Timing	Note
OpenAI	6 GW multi-gen Instinct	First 1 GW H2'26; massive scale end-2026, accelerating 2027	Warrants issued; GPT-class workloads running on Helios ~3 months
Meta	Up to 6 GW custom MI450-based GPUs + Venice CPUs	First 1 GW H2'26	160M-share \$0.01 warrant (Feb 2026)
Anthropic	Up to 2 GW MI450 + up to \$5B AMD equity investment	First GW H1'27	Jul 2026; co-designed MI450
Microsoft	Helios at scale on Azure	2026–27	Frontier-model inference
Others	Oracle, HUMAIN (up to \$10B / 500 MW), Tensorwave, Vultr, Cerebras	2026+	Deployments/partnerships

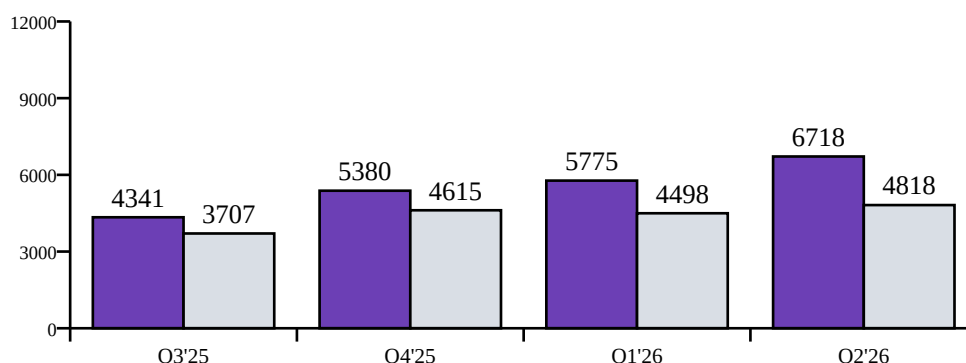
3 Financial Analysis

FY2025 was a record year (\$34.6B revenue, +34%; record non-GAAP op income of \$7.8B), and H1 2026 accelerated further (+44% revenue, +116% FCF) — but with two flags the headline skips: Q2 capex of \$808M (vs ~\$300M consensus) and the \$2.36B payables stretch that flattered free cash flow.

FY2025 (reported Feb 3, 2026) and H1 2026

Metric	FY2025	H1 2026	Comment
Revenue	\$34,639 mn (+34%)	\$21,789 mn (+44%)	Record year; Q2'26 +50% beat
Gross margin (non-GAAP)	52%	~55–56%	Q4'25 aided by \$360M MI308 reserve release
Operating income (non-GAAP)	\$7,800 mn (22.5%)	\$5,634 mn (25.9%)	GAAP op. income H1: \$3,466 mn
Free cash flow	\$5,519 mn (record)	\$4,124 mn (+116%)	H1 flattered by \$2.36B payables stretch
Capex	\$974 mn	\$1,197 mn	Q2 alone \$808M vs ~\$300M consensus
Net cash (period end)	\$7,330 mn	\$9,885 mn	Cash + ST inv. \$13,111 mn; debt \$3,226 mn

Data Center segment revenue vs. rest (\$ mn) — DC now 58% of revenue



Data Center (dark) vs Client+Gaming+Embedded (light), quarterly revenue Q3'25–Q2'26. DC: \$4,341 / \$5,380 / \$5,775 / \$6,718 mn.

Guidance and the bar we haircut

Q3'26 guide (Aug 4): revenue ~\$13.0B ± \$300M (+41% YoY), non-GAAP GM ~56%. At Citi Global TMT (Sept 8, 2026), CFO Jean Hu guided data-center revenue to **~\$70B in 2027 (more than doubling)**, with AI GPUs in the

low-\$40B range and server CPUs the rest; server CPU +80%+ YoY in H2'26 and +70%+ in 2027; AI TAM \$2–3T by 2030. The rebuild's **judgment call**: management guides are anchor points, not valuations — we take 2027 base revenue at **\$75B total**, a **~16% haircut** to the \$89.8B sell-side consensus that effectively photocopies the guide. Sell-side EPS: \$7.75 (2026E non-GAAP) → \$15.74 (2027E) → \$22.84 (2028E).

Capital returns and the warrant overhang

\$10B of buyback authority (May 2025, \$6B added to ~\$4B remaining) — but only \$221M actually repurchased in Q1'26. Meanwhile the OpenAI and Meta warrants total **~320M shares (~19.6% of the current share count)**, carried as a liability until equity-classification conditions are met. The buyback is a rounding error next to the warrant book; dilution, not repurchases, is the per-share story. No dividend.

4 Competition & Moat

Competitor	Position	Assessment
NVIDIA	70–95% AI-GPU share Blackwell Ultra shipping; Rubin 2H'26	The primary competitor. CUDA + NVLink/InfiniBand is the moat AMD must cross; MI400 claims 1.5× memory capacity and 30% more tokens/\$ (company claims, not independent benchmarks).
Intel	Defending x86 server (Xeon 6 Granite Rapids)	Server shipments roughly flat YoY while EPYC compounds; the share bleed is one-way. Not the binding constraint on AMD's value.
Broadcom	60–80% custom AI-ASIC share \$73B AI backlog	The structural threat. Google TPU / Meta MTIA (with Broadcom) shrink the merchant-GPU TAM AMD is growing into. \$100B AI revenue target by 2027.
Hyperscaler in-house silicon	Google TPU, AWS Trainium, Meta MTIA, Microsoft Maia	Same mechanism as Broadcom: every wafer that goes to in-house silicon is a wafer that never becomes a merchant-GPU socket.
Marvell / Arm	20–25% custom ASIC; Arm at record 13.6% server share	Second-tier threats; Arm the long-term one on server CPUs.

Moat sources: **chiplet architecture** (pioneered with Zen, extended to MI400 CoWoS-L); the **x86 duopoly** cross-license (only merchant x86 server alternative); an **open software stack** (ROCm, Ethernet + UALink) that three hyperscalers are now financially committed to; and **TSMC partnership** (Venice is the first HPC chip on TSMC N2, with AMD receiving the largest allocation increase TSMC gave any customer). The moat is real — which is exactly why we value the business at \$130, not \$13. The price, not the moat, is the problem.

5 Valuation — Hardened 10-Year DCF, Fair Value \$130

The old note's fair value was **\$520** — it anchored to the \$70B 2027 guide and ran terminal growth above 4%. The rebuild rejects both. This note values AMD on a **10-year scenario free-cash-flow DCF**, weights **bear 25% / base 50% / bull 25%**, and applies scenario-specific discounts: **bear 14.5%** (base + 250bp), **base 12.0%**, **bull 10.5%** (base – 150bp). The base 12% is a **named judgment call**: AI-accelerator revenue concentrated in three customers, export-control exposure on MI-series parts to China (~\$440M of 2025 charges, a 15% revenue-share regime with no published regulation), and the ~320M-share warrant overhang demand more than a standard semiconductor discount rate. At 10%, fair value would be \$170 — **the verdict survives**. Terminal growth is capped at **2.0%** (bear: 0%) on year-10 FCF at normalized margins — never peak margins.

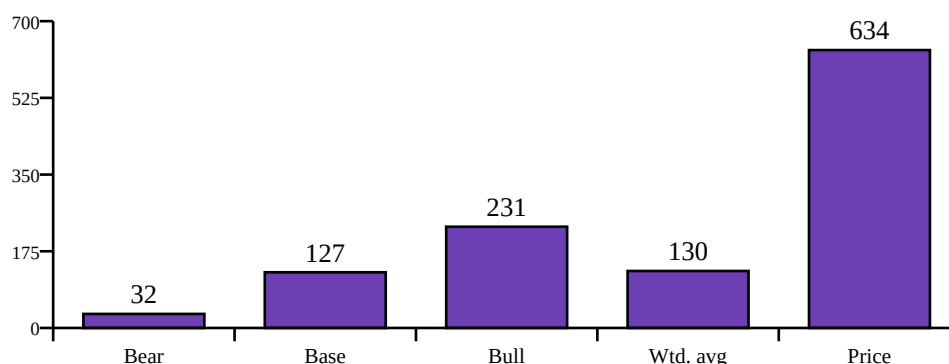
Scenario DCF (10-year, probability-weighted):

Scenario	2027–36 rev CAGR	FCF margin (yr-10)	Discount / terminal g	Fair value
Bear	–0.8%	13%	14.5% / 0%	\$32
Base	+15.6%	18%	12.0% / 2.0%	\$127

Scenario	2027–36 rev CAGR	FCF margin (yr-10)	Discount / terminal g	Fair value
Bull	+20.0%	22%	10.5% / 2.0%	\$231
Probability-weighted (25/50/25) → \$130 target				\$130

$0.25 \times \$32 + 0.50 \times \$127 + 0.25 \times \$231 = \$129.25 \rightarrow \$130$. Base-case 2027 revenue is **\$75B**, a ~16% haircut to the \$89.8B sell-side consensus and to management's ~\$70B 2027 data-center guide.

Scenario fair values vs. current price (\$)



The bear case (\$32) exists to make the bear hurt, as the methodology demands: it assumes AI-accelerator share stalls against Rubin and custom silicon, the export-control regime tightens, and the cycle turns — revenue essentially flat for a decade. It sits 95% below the price. The **bull case (\$231)** — 20% annual compounding for ten years at 22% FCF margins — is 64% below the price. There is no plausible scenario in this DCF that meets the market where it stands.

Reverse DCF: what is priced in?

To justify \$633.91 in this framework, AMD revenue must compound at **~43.6% annually for nine years**, reaching **~\$1.3 trillion by 2035** — roughly **five times** what the bull case generates, and larger than the **entire AI-semiconductor TAM** (\$2–3T by 2030, *total*, per the company's own guide). The price does not price AMD's business. It prices a semiconductor industry that does not exist.

Price target: \$130. The target is the probability-weighted hardened DCF, with no multiple overrule and no management-anchor salvage. Implied downside –79.5%. What would falsify it: Q3 (Nov 3) and Q4 showing Helios volumes tracking the 2027 guide so credibly that consensus 2027 revenue holds — combined with ROCm traction that makes the merchant-GPU share story stick — would argue the base case is too harsh. Conversely, DC revenue softening below ~\$55B in 2027 would argue even the \$127 base is generous.

6 Risks & Catalysts

Risks

Customer concentration. The ~\$70B 2027 data-center guide rests on OpenAI, Meta, and Anthropic. DC is 58% of revenue; the three anchors are the marginal buyer of the growth story.

Warrant overhang. ~320M shares (~19.6% dilution) if OpenAI + Meta warrants fully vest. Carried as a liability until equity-classification conditions are met — a genuine overhang on per-share value.

China export controls. MI308 license regime since April 2025; ~\$440M in 2025 charges; only partial licenses granted; a 15% revenue-share "expectation" with no published regulation as of the Aug 2026 10-Q. China historically ~25% of sales.

Custom silicon cannibalization. Broadcom (60–80% custom-ASIC share, \$73B backlog) and hyperscaler in-house chips (TPU, Trainium, MTIA, Maia) shrink the merchant-GPU TAM AMD is growing into.

Cycle and execution. Supply is tight (wafers, HBM, advanced packaging — Sept 2026); MI450/Helios ramp must hit an annual cadence against NVIDIA; memory/component inflation squeezes Client/Gaming margins; gaming is already –31% on the console cycle.

Catalysts

Q3 earnings, Nov 3, 2026: first read on Helios shipments (end-Q3) and whether the ~\$70B 2027 guide survives contact with actual volume.

Q4 Helios ramp: "accelerating 2027" per OpenAI's Sachin Katti; Q4 volume is the quarter the guide lives or dies on.

MI500 (2027): billed as the largest generational leap in Instinct history, with next-gen Verona CPUs — the annual-cadence proof point.

Anthropic first GW (H1'27): the third anchor deal's revenue recognition starts here.

China license expansion: MI325 got partial licenses in Feb 2026; broader relief would be a straight EPS tailwind.

Warrant equity classification: resolution removes a liability overhang and clarifies the share count.

Recommendation

REDUCE, \$130 target (–79.5%). AMD is a wonderful business in a real AI cycle — Data Center +107%, record EPYC share, Helios in production, a \$10B net-cash balance sheet — trading at a price that requires **~\$1.3 trillion of 2035 revenue**, 43.6% annual compounding for nine years, five times the bull case. The hardened 10-year DCF values the equity at \$130 (bear \$32 / base \$127 / bull \$231) against a \$633.91 quote; even the bull case is 64% below the price. The old \$520 target rested on management's \$70B guide and >4% terminal growth; the rebuild haircuts the guide ~16%, caps terminal growth at 2.0%, and prices the concentration, export, and warrant risks at a 12% base discount. **Current holders should reduce.** We would turn buyers toward **\$115–140**, where the base case offers a margin of safety. **Falsification:** Q3 (Nov 3) and Q4 Helios volumes tracking the 2027 guide credibly, with ROCm traction making the merchant-GPU share story stick, would force a re-rating of the base case — while DC revenue coming in below ~\$55B in 2027 would argue even \$127 is generous. Watch the volumes, not the keynote slides.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company filings, earnings materials, and market data as of October 2, 2026.